Summary of Readings

(BUSFIN 8200 - Asset Pricing Foundations)

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You should own copies of the following textbooks: Cochrane (2005), Campbell (2018)

You should fully understand how we approach choice under uncertainty in economics
(if not, read Chapter 1 of Campbell (2018))

You should be familiar with the concepts of "Stationarity" and "Cointegration" in time series econometrics
(if not, you can benefit from reading Chapters 6 and 11 of Cochrane (1997))

You are required to read the lecture notes ahead of time for every lecture
Beyond that, this document provides some readings that are:
*** Required Readings
** Readings that are not required but that are the best source for the lecture material
* Readings that are not required but represent a complement to the other readings

(1) Variation in Asset Prices & Expected Returns

[1.1] Variation in Equity Prices

*** Campbell (2018), Chapters 5.1, 5.2, 5.3

* Cochrane (2005), Chapter 20.1 (Pages 391 to 426)

* Cochrane (2011), Section I

* Koijen and Van Nieuwerburgh (2011)

[1.2] Equity $\mathbb{E}[R]$ (Time Series)

*** Campbell (2018), Chapters 5.4 and 5.5

* Cochrane (2005), No Chapter

* Timmermann (2018)

* Rapach and Zhou (2022)

[1.3] Equity $\mathbb{E}[R]$ (Cross Section)

* Campbell (2018), No Chapter

* Cochrane (2005), No Chapter

* Nagel (2013), Chapter 2

* Bali, Engle, and Murray (2016)

* Hou, Xue, and Zhang (2019); Chen and Zimmermann (2023); Jensen, Kelly, and Pedersen (2023)

[1.4] Bond Prices and $\mathbb{E}[R]$

** Campbell (2018): Chapters 8.1, 8.2

* Cochrane (2005), Chapters 19.1, 19.2

** Huang and Shi (2021), Chapters 2.2, 3

(2) The Stochastic Discount Factor

[2.1] The SDF

** Campbell (2018), Chapters 4.1.1, 4.1.2, 4.1.3, 4.1.4, 4.2, 4.3.1, 4.3.2 (pages 95 and 96)

* Cochrane (2005), Chapters 1.1, 1.2, 3.1, 3.2 (only page 51), 4 (until page 73), 6.1

[2.2] General SDF Estimation

* Campbell (2018), Chapter 4.4

** Cochrane (2005), Chapters 8.1, 8.2, 8.4, 8.5, 10, 11

[2.3] Linear & Log-Linear SDF Models

* Campbell (2018), Chapter 3.3.1

** Cochrane (2005), Chapters 5.1, 6.3, 8.3, 12, 13.1, 13.2, 13.3, 13.4

(3) The CAPM & Factor Models

[3.1] Mean-Variance Portfolio Theory

** Campbell (2018), Chapter 2.2

* Cochrane (2005), Chapters 8.1, 8.2, 8.4, 8.5, 10, 11

[3.2] The Capital Asset Pricing Model (CAPM)

** Campbell (2018), Chapter 3.1

* Cochrane (2005), Chapters 5.2, 5.3, 5.4, 5.5, 6.2

** Fama and French (2006)

[3.3] Reduced Form Factor Models

* Campbell (2018), No Chapter

* Cochrane (2005), No Chapter

* Fama and French (1996), Fama and French (2015) (Fama-French factor model papers)

* Hou, Xue, and Zhang (2015), Hou et al. (2021) (q-theory factor model papers)

* Stambaugh and Yuan (2017), Daniel, Hirshleifer, and Sun (2020) (mispricing factor model papers)

[3.4] The APT & Latent Factor Models

** Campbell (2018), Chapter 3.2.1, 3.2.2

* Cochrane (2005), Chapters 9.4

(4) The Intertemporal CAPM

[4.1] Intertemporal Portfolio Theory

** Campbell (2018), Chapter 2.1, 9.1, 9.2

* Campbell and Viceira (2002), Chapters 1 to 4

[4.2] The Intertemporal CAPM (ICAPM)

** Campbell (2018), Chapter 9.3

* Cochrane (2005), Chapters 9.2, 9.3

** Chabi-Yo, Gonçalves, and Loudis (2025)

(5) The Consumption CAPM

[5.1] The Consumption CAPM (CCAPM)

** Campbell (2018), Chapters 6.1, 6.2, 6.8

* Cochrane (2005), Chapters 1 (except 1.5), 2, 21.1

[5.2] CCAPM with Epstein-Zin Utility

** Campbell (2018), Chapters 6.4, 6.5

* Cochrane (2005), No Chapter

[5.3] CCAPM with Disaster Risks

** Campbell (2018), Chapter 6.3

* Cochrane (2005), No Chapter

[5.4] CCAPM with Habit Formation

** Campbell (2018), Chapter 6.7

* Cochrane (2005), Chapter 21.2 (sections before "Heterogeneous Agents and Idiosyncratic Risks")

(6) Asset Pricing Term Structure Models

[6.1] Bond Term Structure Models

** Campbell (2018), Chapters 8.3, 8.4

* Cochrane (2005), Chapter 19.3, 19.4, 19.5

* Duffee (2013)

[6.2] Equity Term Structure Models

** Campbell (2018), Chapter 9.4

* Cochrane (2005), No Chapter

** Binsbergen and Koijen (2017)

(7) Asset Pricing with Heterogeneous Investors

[7.1] Preference & Belief Heterogeneity

[7.2] Market Participation & Uninsurable Risks

[7.3] Intermediary-Based Asset Pricing

[7.4] Asset Pricing Demand Systems

(8) Asset Pricing with Subjective Beliefs

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